LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

# What Is Structured Collateral Funding ?

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# Module 1: Theoretical Foundations and Product Philosophy of Structured Collateral Funding

## 1.1 The Concept of Structured Collateral Funding

In corporate finance, **Structured Collateral Funding (SCF)** represents a highly specialized, structured credit program where a lender grants a high-value fund-based credit facility (usually an overdraft, working capital demand loan, or term loan) secured not by a single, isolated asset, but by a cohesive, multi-asset **"Structured Collateral Pool"**.

Unlike standard commercial loans that rely on a single property mortgage or stock hypothecation, Structured Collateral Funding aggregates multiple forms of collateral—including commercial real estate, listed equity shares, mutual funds (equity and debt), fixed deposits, sovereign gold bonds, and future cash flow escrows. By combining these diverse assets under a unified legal charge, the lender achieves **cross-collateralization and security optimization**, drastically lowering the Loss-Given-Default (LGD) and allowing the corporate borrower to access substantial liquidity at highly competitive interest rates.

### 1.2 The Sovereign/Semi-Sovereign and Anchor-Led Substitution Paradox

A core philosophical pillar of structured trade and corporate finance is the **Credit Substitution Principle**. Standalone mid-market enterprises or unrated family offices often face severe borrowing bottlenecks due to a lack of traditional investment-grade credit ratings. However, under a structured collateral program, the financial architect shifts the underwriting focus away from the borrower's standalone balance sheet to the creditworthiness of its underlying transactional partners (the Anchors) and the liquid valuation of its pledged assets.

If the corporate borrower possesses valuable contracts with AAA-rated private anchors, public sector undertakings (PSUs), or government departments (Sovereign/Semi-Sovereign buyers), the future cash flow receivables generated under these active agreements represent highly secure, low-risk financial assets. By structuring a joint escrow mechanism, a Trust and Retention Account (TRA), or an absolute assignment of these actionable claims as part of the collateral pool, the lender effectively substitutes the credit risk of the borrower with the credit risk of the AAA-rated anchor. This enables the borrower to secure low-cost, transaction-specific funding, using its existing operational assets as a force-multiplier for growth.

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## 1.3 Strategic Debt Consolidation and Asset seasoning

Many rapidly scaling companies in India accumulate high-cost, fragmented unsecured business loans, promoter debt, or expensive short-term bridge lines. Structured Collateral Funding serves as a powerful treasury management tool for **Strategic Debt Consolidation**. By pooling unencumbered or partially leveraged real estate and marketable securities into a single structured facility, corporate treasurers can refinance these expensive liabilities into a single, low-interest long-term debt facility.

This restructure immediately releases substantial cash flow back into the company's operating cycle. Furthermore, lenders utilize the concept of **"Asset Seasoning"**—whereby real estate property that has been mortgaged for a minimum of 24 to 36 months, or equity portfolios with a stable historical track record, are appraised at their current appreciated fair market value. This unlocks fresh, incremental borrowing capacity (outbound top-ups) without requiring the borrower to acquire additional physical property or dilute corporate equity.

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## Module 2: Structural Comparative Taxonomy (The Credit Matrix)

To fully comprehend the mechanics of Structured Collateral Funding, trainees must be able to contrast this product against traditional trade and asset-backed credit facilities:

| Credit Dimension | Structured Collateral Funding | Loan Against Property (LAP) | Loan Against Securities (LAS) | Traditional CC / Term Loans |
|---|---|---|---|---|
| **Primary Underwriting Focus** | Blended collateral pool value, transaction cash flow velocity, and AAA anchor credit substitution. | Static valuation of real estate collateral (land & building) and business net worth. | Daily market value of the approved dematerialized share portfolio. | Borrower's balance sheet solvency, leverage ratios, and long-term project IRR. |
| **Repayment Structure** | Flexible: Daily reducing balance overdraft, structured sweeps, or bullet tranches. | Rigid monthly EMI (principal + interest) amortizing over a long-term schedule. | Revolving limit; interest debited monthly on used balance, principal repaid on demand. | Revolving limit (for CC) or standard amortizing monthly EMIs (for Term Loans). |
| **Interest Pricing Spreads** | Competitive: **EBLR / MCLR + 1.0% to 2.5%** spread, reflecting the blended multi-asset pool security. | Standard: **EBLR / MCLR + 2.5% to 4.5%** spread, based on property type and risk profile. | Standard: **EBLR / MCLR + 1.5% to 3.0%** spread, based on share volatility and concentration. | Standard: EBLR / MCLR + 2.0% to 5.0% spread, highly dependent on credit rating. |
| **Collateral & Security basis** | **Blended Pool:** Real estate mortgage + demat share pledge + | Exclusive first charge on residential, commercial, or industrial | Exclusive pledge on approved demat shares and mutual fund units via NSDL/CDSL. | Exclusive hypothecation over current assets (inventory & |

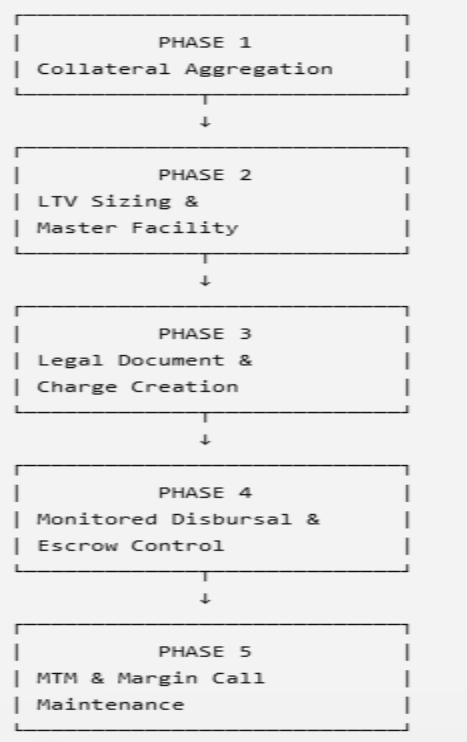
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| Credit Dimension | Structured Collateral Funding | Loan Against Property (LAP) | Loan Against Securities (LAS) | Traditional CC / Term Loans |
|---|---|---|---|---|
| | mutual funds + cash escrows + DSRA. | immovable property. | | debtors) or fixed assets. |
| **Loan-to-Value (LTV)** | **Blended 65% - 85%** (higher LTV achieved by mixing liquid financial assets with property). | Restricted: **50% to 65%** on commercial property, **35% to 45%** on industrial/land. | Restricted: **50.00% on equity shares (statutory RBI cap)**, **70% on equity mutual funds**. | Standard: **75% on eligible inventory**, **70% on debtors < 90 days** (less creditors). |
| **CERSAI & ROC Filings** | Mandatory multi-asset registration of mortgage, pledges, and escrow charges within 30 days. | Mandatory mortgage charge registration with CERSAI and ROC (Form CHG-1) within 30 days. | No generic CERSAI required for personal LAS, but ROC CHG-1 is mandatory for corporate pledges. | Generic hypothecation registration with CERSAI and ROC (Form CHG-1) within 30 days. |
| **Balance Sheet Treatment** | Disclosed under secured borrowings; interest capitalized or treated as deductible business expense. | Long-term non-current liability; disclosed under secured long-term corporate borrowings. | Short-term current liability; disclosed under short-term secured bank overdrafts. | Current liability (CC revolving limit) or Non-current liability with current maturities. |

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# Module 3: The End-to-End Operational Lifecycle of Structured Collateral Funding

The execution of a Structured Collateral Funding transaction follows a highly disciplined, risk-mitigated five-phase transaction pipeline:




## 3.1 Phase 1: Collateral Aggregation and Seasoning Audit

The transaction begins with a comprehensive audit of the borrower's asset portfolio. The financial architect evaluates the unencumbered real estate properties (residential, commercial, or warehouse spaces) and marketable financial securities (NSDL/CDSL demat accounts, mutual fund statements, fixed deposits). Immovable properties undergo independent dual-valuation reports to establish the Current Fair Market Value (FMV) and a detailed legal title search (minimum 13-to-30-year Search Report from the Sub-Registrar's Office). Marketable securities are screened against the lender's Approved Securities List to filter out high-volatility or low-liquidity scripts.

## 3.2 Phase 2: Sizing and LTV Blending under a Master Facility

Instead of initiating multiple, fragmented loan accounts, the underwriter constructs a single **Master Facility Agreement**. The credit unit applies asset-specific haircuts and LTV limits to establish a **"Blended Loan-to-Value (LTV)"** ratio. For instance, a commercial building valued at ₹10 Crores is approved at a 60% LTV (credit of ₹6

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Crores), and a listed equity portfolio of ₹5 Crores is approved at the strict RBI-mandated 50% LTV (credit of ₹2.5 Crores). By combining these assets, the underwriter sanctions a unified, structured overdraft limit of **₹8.5 Crores** against a total collateral base of ₹15 Crores, achieving a highly optimized blended LTV of **56.67%**.

## 3.3 Phase 3: Legal Documentation and Multi-Asset Charge Creation

The legal department drafts and executes the security documents, creating a robust, multi-layered defense system: 1. **Equitable Mortgage:** Deposit of Title Deeds is executed under Section 58(f) of the Transfer of Property Act, 1882, for the real estate asset. 2. **Demat Pledge:** An electronic pledge is created via NSDL/CDSL depositories (using SWIFT-like instructions or depository pledge forms) in favor of the lender under Section 172 of the Indian Contract Act, 1872. 3. **Escrow Tripartite Agreement:** Signed between the Lender, the Borrower, and the AAA Anchor, assigning future project/trade receivables directly to a designated Trust & Retention Account (TRA). 4. **Charge Registration:** The lender registers all charges with the Registrar of Companies (ROC) via **Form CHG-1 on the MCA portal within 30 days**, and registers the security interest on the **CERSAI portal within the strict 10-day statutory window** (under the 2021 Factoring Regulation Amendments).

## 3.4 Phase 4: Monitored Tranche-Based Disbursements

To eliminate **capital diversion risk**—which is the primary cause of corporate loan defaults—disbursals are structured in tightly controlled, milestone-linked **tranches**. The master overdraft limit is linked to a monitored current account. Funds are released directly to verified third-party raw material vendors, equipment OEMs, or tax departments via RTGS/NEFT based on verified commercial invoices (direct-to-vendor payment). No cash is released directly into the borrower's general operating accounts, ensuring that 100% of the capital is deployed strictly for business-expansion or raw material procurement.

## 3.5 Phase 5: Mark-to-Market (MTM) and Margin Call Maintenance

Because the collateral pool contains highly volatile liquid assets (listed shares and mutual funds), the lender's risk management unit performs daily **Mark-to-Market (MTM) valuations**. If a sharp market drop reduces the value of the pledged shares, the actual LTV ratio rises, breaching the approved safety ceiling. The lender then issues a contractually mandated **Margin Call**, giving the borrower **24 to 48 hours** to restore the LTV by either: (a) depositing cash to pay down the overdraft principal, or (b) pledging additional compliant physical assets, property, or mutual fund units.

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# Module 4: Transactional Credit Underwriting & Key Risk Metrics

Corporate credit underwriting in Structured Collateral Funding is highly sophisticated, balancing historical cash flow indicators with real-time collateral coverage.

## 4.1 Traditional Working Capital Sizing Frameworks

Lenders apply and adapt three classical working capital sizing frameworks:

1. **Tandon Committee's Second Method of Lending:**
   - *Formula & Application:* Under this method, the borrower must contribute a minimum of **25% of the total current assets** as Net Working Capital (NWC) from long-term sources, with the bank financing a maximum of 75%. The target Current Ratio under this method is strictly **1.33:1** or higher.
   - *SCF Adaptation:* If the corporate borrower's standalone current ratio is compressed, the underwriter enforces a "carve-out" of current assets, placing the specific transaction's inventory and AAA receivables within a tripartite escrow structure, synthetically restoring the 1.33:1 ratio within the structured sub-facility.
2. **Projected Turnover Method (PTM / Nayak Committee):**
   - *Application:* Applied for working capital limits up to **₹5 Crores**. Under this framework, the total working capital requirement is estimated at **25% of the projected annual turnover**. The promoter must contribute **5% of the turnover** as equity margin, and the bank funds the remaining **20%**.
   - *SCF Adaptation:* Underwriters validate the projected turnover by running GSTR-1 and GSTR-3B matching scripts. If the historical tax filing velocity supports the projections, the bank approves the ad-hoc structured limit, capping the disbursal strictly at 20% of the contract value.
3. **Cash Budget Method (CBM):**
   - *Application:* Applied for seasonal industries, fast-growing contractors, or distressed entities where inventory-to-sales cycles are highly irregular. The borrower submits a monthly cash inflow and outflow statement, and the bank sizes the limit based on the **Peak Deficit** identified in the cash budget.

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## 4.2 Scorecard Underwriting and Validation Metrics

To hedge against operational defaults, underwriters cross-reference data from the following portals:

- **Promoter CIBIL Score:** Target score must be **>700**. A lower score indicates weak personal credit discipline, raising the risk of capital diversion.
- **CIBIL MSME Rank (CMR):** Target rank must be between **CMR 1 and CMR 4**. CMR ranks evaluate the probability of default for MSMEs on a scale of 1 (lowest risk) to 10 (highest risk). Ranks above CMR 5 require enhanced credit mitigation, such as higher cash margins or corporate guarantees.
- **Interest Coverage Ratio (ICR):** Target ICR must be **>1.25x**, ensuring that the cash flows generated by the underlying project are more than sufficient to cover the interest premiums associated with structured finance.
- **Debt Service Coverage Ratio (DSCR):** Target DSCR must be **>1.25x**, ensuring the company's operating profits (EBITDA) can comfortably cover both the principal EMI and interest liabilities.
- **Fixed Obligation to Income Ratio (FOIR/DTI):** For retail promoters or directors, the total EMI obligations (including the proposed facility) are capped at **50% to 65%** of their verified net monthly income, ensuring sufficient cash reserves are retained for personal/operational contingencies.
- **Bank Statement Analysis (BSA):** Using the **Account Aggregator (AA)** framework, lenders analyze bank statements to detect circular trading, inward/outward cheque bounces, and unauthorized cash withdrawals.
- **GST Portal Real-Time Validation:** Lenders execute real-time APIs to match the invoices submitted for discounting against the seller's GSTR-1 (liability declaration) and the buyer's GSTR-2B (input tax credit auto-population), ensuring the transactional data is 100% genuine and free from invoice duplication.

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# Module 5: Legal Security Architecture, Multi-Asset Charge Creation, and CERSAI Covenants

The viability of Structured Collateral Funding rests upon its legal enforceability and the robustness of its multi-asset security architecture.

## 5.1 Statutory Foundations of Mortgages and Pledges in India

1. **The Transfer of Property Act, 1882:**
    - **Section 58(f) - Equitable Mortgage (Mortgage by Deposit of Title Deeds):** This is the most common form of real estate security in Indian banking. The borrower delivers the original title documents of the property to the bank's authorized representative in a designated notified town, with the intent to create a security interest. No compulsory registration is required for the memorandum of entry (saving on stamp duty in several states), but the charge is fully enforceable in court.
    - **Section 58(b) - Simple Mortgage:** The borrower binds themselves personally to pay the mortgage money and agrees that, in the event of failure to pay, the lender shall have the right to cause the mortgaged property to be sold. A simple mortgage requires compulsory registration with the Sub-Registrar of Assurances (SRO) and payment of applicable state stamp duties.
2. **The Indian Contract Act, 1872:**
    - **Section 172 - Pledge:** A pledge is defined as the bailment of goods (or electronic securities) as security for payment of a debt or performance of a promise. The bailor is the pawnor (borrower) and the bailee is the pawnee (lender).
    - **NSDL/CDSL Depository Pledge:** Governed by the Depositories Act, 1996, and SEBI regulations. The pledge is created digitally within the depository system. The shares are marked with a "lien/pledge lock" in favor of the lender's DP account, preventing the borrower from selling or transferring them until the lender issues a digital release.
3. **Section 130 of the Transfer of Property Act, 1882:**
    - This section governs the **absolute assignment of actionable claims**. When a borrower assigns its future receivables to a structured lender, the assignment is legally complete upon execution of a written deed of assignment. Once executed, the buyer (the Anchor) is legally bound to pay the assignee (the Lender) directly, isolating these cash flows from any general creditors or liquidation estates.

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## 5.2 Foreclosure and Enforcement under the SARFAESI Act, 2002

To recover outstanding dues in the event of default, lenders leverage the **Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002**: * **Section 13(2) Demand Notice:** Upon classification of the loan account as an NPA, the lender issues a formal 60-day notice to the borrower and guarantors, detailing the outstanding liability and demanding full liquidation. * **Section 13(4) Possession Notice:** If the borrower fails to pay within the 60-day window, the bank has the absolute statutory right to take symbolic or physical possession of the mortgaged property, appoint a receiver, or auction the asset to recover dues, bypassing the sluggish Civil Courts. * **CERSAI Charge Registration:** All security interests created over immovable properties, hypothecated current assets, or book debts must be registered on the **CERSAI portal within the strict 30-day statutory window** (and 10 days for factoring/receivable charges under the 2021 amendments). Failure to register or delay in CERSAI filing compromises the lender’s enforcement priority under the SARFAESI Act, making the charge subordinate to subsequent registered creditors.

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# Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Structured Collateral Funding is highly aligned with capital-intensive, transaction-heavy sectors where core asset value and contractual receivables are highly robust.

## 6.1 Suitable Industries and Business Profiles

1. **Infrastructure, Roads & EPC Contractors:** Companies executing NHAI road projects, state railways, or municipal pipelines. These projects have massive cash flow blocks due to delayed milestone payments. Structured collateral funding bridges the gap between milestone completion and government disbursement, utilizing the secure nature of government receivables.
2. **Manufacturing & Heavy Engineering:** Capital-intensive plants (Steel, Cement, Auto Components) with active order books but choked working capital lines. Structured collateral funding allows them to purchase specialized raw materials and keep furnaces firing, preserving the valuable physical plant from terminal obsolescence.
3. **Consumer Electronics and Durables:** Manufacturers operating under the Government's Production Linked Incentive (PLI) schemes. They face massive upfront capex and raw material procurement cycles before qualifying for quarterly incentive disbursements.
4. **Agri-Commodity Processors & Cold Storages:** Entities facing extreme seasonal peaks where massive liquidity is required in a 60-day window to purchase crop inventory from farmers before processing and selling throughout the year.

## 6.2 Working Capital Borrowing Trends in India

To align our credit modeling with national financial realities, underwriters must reference the following macroeconomic benchmarks compiled from commercial credit data and public sector bank disclosures:

- **SME Borrowing Concentrations:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This highlights the massive demand for transaction-backed working capital rather than traditional asset-heavy term loans.

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- **Digital Public Credit Infrastructure:** Large public sector banks have established massive digital supply chain platforms to facilitate real-time working capital delivery. State Bank of India (SBI) leads this digital transformation:
  - **SBI e-DFS (Electronic Dealer Financing Scheme):** Actively supports distributors with a portfolio size of **₹49,261 Crores**, automating drawdowns and inventory financing.
  - **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with a portfolio size of **₹28,092 Crores**, utilizing automated invoice discounting linked to corporate anchors.

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# Module 7: Commercial Pricing Mechanics, Cost-Benefit Ratios, and Interest Tax Shields

The specialized, structured nature of SCF reflects in its competitive pricing. Because lenders secure a multi-asset collateral pool, they charge a lower premium spread compared to standalone unsecured loans or high-cost mezzanine debt.

## 7.1 Pricing Benchmarks and Fees

- **Interest Rate Spreads:** Structured Collateral Funding is typically priced over the bank's **Marginal Cost of Funds Based Lending Rate (MCLR)** or the **External Benchmark Linked Rate (EBLR)** tied to the RBI Repo Rate. For corporates with blended collateral pools, banks charge a highly competitive rate, typically **9.50% to 12.50% p.a.** (for bank overdrafts) and **11.00% to 14.00% p.a.** (for NBFC/AIF facilities).
- **Arrangement / Processing Fees:** Charged upfront, typically ranging from **0.50% to 1.50%** of the sanctioned limit, reflecting the intensive legal and financial valuation required.
- **GST Treatment:** Upfront processing fees, commitment charges, and legal appraisal costs attract standard **18% GST**. However, the **interest charged on the daily utilized balance is completely exempt from GST**, making reducing-balance debt significantly cheaper than alternative fee-heavy financing models.
- **Corporate Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business purposes is a fully deductible business expense. Distressed or expanding enterprises utilize this tax shield to offset their corporate tax liabilities (at standard corporate tax rates of **25.17%** for new manufacturing companies or **31.20%** for general corporates), reducing the effective post-tax cost of borrowing.

### 7.2 Financial Mathematics of Daily Reducing Balance

Traditional term loans charge interest on the entire disbursed principal. In contrast, structured overdrafts operate on a **daily reducing balance negative current account limit**. Interest accrues daily only on the exact outstanding balance utilized at the close of each banking day, using the formula:

$$extDailyInterestAccrual = racextOutstandingBalanceimesextAnnualInterestRate365$$

By sweeping customer payments or escrow receipts into the account daily, the outstanding principal is immediately reduced, dramatically lowering the cumulative interest outdrawn over the tenure.

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# Module 8: Regulatory Compliance, RBI Guidelines, and IRACP Asset Classification

Structured Collateral Funding lenders must navigate a rigid regulatory environment to prevent asset downgrades and ensure strict compliance with banking norms.

## 8.1 RBI's Loan System for Delivery of Bank Credit

Lenders must comply with the RBI's guidelines on the **Loan System for Delivery of Bank Credit**. For corporate borrowers with aggregate fund-based working capital limits of **₹150 Crores and above** from the banking system: * Lenders must mandate a minimum **60% "loan component"** (in the form of WCDL or structured term loans). * The revolving cash credit (CC) component is capped at a maximum of **40%**. This regulatory framework forces disciplined, structured drawdowns, aligning perfectly with the tranche-based operational lifecycle of Structured Collateral Funding.

## 8.2 RBI IRACP Asset Classification and "Out of Order" Triggers

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines, 2025**, loans are classified as non-performing assets (NPAs) if they remain irregular for a specified window:

- **The 90-Day Delinquency Clock:** For fund-based facilities (including structured term loans), an account is classified as an NPA if the interest or principal remains overdue for more than **90 days**.
- **Special Mention Account (SMA) Categorization:** Accounts are tracked through early warning stages:
  - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.
  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.
- **"Out of Order" Status for Revolving CC/OD Limits:** A revolving structured limit is classified as "Out of Order" (and downgraded to an NPA) if:
  1. The outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**.
  2. Or, if there are no credit inflows into the account for **90 days**, or the inflows are insufficient to cover the interest debited during the same 90-day window.
- **The 180-Day Technical Review Default:** If a bank fails to review or renew a structured working capital limit within **180 days** from its scheduled due date, the

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limit is classified as a technical default and downgraded to an NPA, highlighting the importance of the annual review cycle.

- **The ₹20 Lakh Statutory Share-Lending Cap:** Under RBI commercial guidelines, direct loans to individual retail borrowers against listed shares are strictly capped at **₹20 Lakhs** per individual (and ₹10 Lakhs for physical shares). However, SEBI-registered NBFCs, Category II AIFs, and loans granted directly to corporate entities or holding companies for business-acquisition or promoter-contribution purposes are **completely exempt from this cap**, allowing high-value corporate promoter funding transactions.

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# Module 9: Comprehensive Real-World Case Study (Mumbai Industrial Conglomerate Pvt. Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a Structured Collateral Funding transaction compared to high-cost unsecured debt.

## 9.1 The Corporate Profile and Liquidity Crisis

- **The Borrower:** *Mumbai Industrial Conglomerate Pvt. Ltd. (MICPL)*
- **Corporate Tax Rate: 25.17%** (manufacturing entity under Section 115BAA of the Income Tax Act).
- **The Situation:** MICPL is an automotive component manufacturer expanding its capacity to supply an unexecuted, high-speed contract milestone for an OEM auto manufacturer (AAA-rated corporate anchor). Due to massive upfront capital expenditure on a new factory building, MICPL's working capital has been severely choked. Standalone, its Debt-to-Equity ratio has stretched to 2.8:1, and its Current Ratio has compressed to **1.05:1** (breaching the Tandon Committee's 1.33:1 safety benchmark), making it impossible to secure traditional unsecured debt at competitive rates.
- **The Assets Available:**
    1. A commercial warehouse property in Navi Mumbai valued at **₹12,00,00,000 (₹12 Crores)**.
    2. A liquid listed blue-chip equity share portfolio valued at **₹6,00,00,000 (₹6 Crores)** held by the promoters in dematerialized form with CDSL.
- **The Opportunity:** MICPL requires immediate liquidity of **₹10,00,00,000 (₹10 Crores)** to purchase specialized raw steel and pay machine vendors to execute the AAA anchor's purchase order. Completing the contract guarantees a ₹15 Crore payout from the anchor within **120 days**.

## 9.2 The Structured Collateral Funding Solution (Pathway B)

A structured corporate bank steps in, consolidating the assets into a unified **Structured Collateral Overdraft Limit** of **₹10,00,00,000 (₹10 Crores)**: 1. **Facility Structure:** Unified Daily Reducing Balance Overdraft under a master tripartite agreement. 2. **Tenure:** Structured over **120 Days**, matching the physical trade cycle. 3. **Escrow Structure:** A Trust & Retention Account (TRA) is executed, with the OEM Anchor contractually signing a **"Non-Dispute Covenant"**, agreeing to deposit the milestone payout of ₹15 Crores directly into the TRA. 4. **Collateral & Haircuts applied:** * Commercial Property LTV: Capped at **60.00%** (credit value contribution of

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**₹7,20,00,000**). * Listed Equity Shares Haircut: Capped at the statutory **50.00%** LTV (credit value contribution of **₹3,00,00,000**). * **Total Credit Capacity of Pool: ₹10,20,00,000** (comfortable covering the ₹10 Crore loan). 5. **Pricing:** Interest is priced at **10.50% p.a.** (EBLR-linked). An upfront processing fee of **0.50%** is charged.

## 9.3 Alternative Pathway A: Standalone Unsecured Corporate Mezzanine Debt

If MICPL had attempted to raise funding standalone without structured collateral, it would have been forced to approach high-yield mezzanine NBFCs, facing: * Standalone unsecured interest rate of **22.00% p.a.** * Upfront processing fee of **2.50%** of the loan value. * No tax-effective FD offset, as no structured cash margin would have been accepted due to high standalone risk.

## 9.4 Detailed Mathematical Cost Comparison Model

The following table provides the exact pre-tax and post-tax cost comparison between the Standalone Unsecured Pathway (Pathway A) and the Structured Collateral Funding Pathway (Pathway B) in Indian Rupees over the 120-day project cycle:

| Financial Metric | Pathway A (Standalone Unsecured Debt) | Pathway B (Structured Collateral Funding) |
|---|---|---|
| **Loan Principal Amount** | ₹10,00,00,000 | ₹10,00,00,000 |
| **Financing Interest Rate** | 22.00% p.a. | 10.50% p.a. |
| **Financing Tenure** | 120 Days | 120 Days |
| **Gross Interest Cost** | **₹72,32,876.71** | **₹34,52,054.79** *(GST-exempt on interest)* |
| **Upfront Processing Fee** | ₹25,00,000.00 *(2.50% of loan)* | ₹5,00,000.00 *(0.50% of loan)* |
| **Upfront GST on Fee (18%)** | ₹4,50,000.00 *(fully recoverable ITC)* | ₹90,000.00 *(fully recoverable ITC)* |
| **Lien-Marked Cash Margin** | ₹0.00 *(no cash cushion)* | ₹1,50,00,000.00 *(15% of loan)* |
| **FD Interest Earned (6.50%)** | ₹0.00 | **-₹3,20,547.95** *(120-day pre-tax FD yield)* |
| **Margin Capital Opportunity Cost** | ₹0.00 | **+₹7,39,726.03** *(at 15.00% ROCE p.a.)* |

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| Financial Metric | Pathway A (Standalone Unsecured Debt) | Pathway B (Structured Collateral Funding) |
|---|---|---|
| **Total Opportunity-Adjusted Pre-Tax Cost** | **₹97,32,876.71** | **₹33,71,232.88** |
| **Corporate Income Tax Shield (25.17%)** | **-₹24,50,235.10** *(applied to interest + fee)* | **-₹8,48,727.52** |
| **Net Post-Tax Opportunity-Adjusted Cost** | **₹72,82,641.61** | **₹25,22,505.36** |
| **Effective Annualized Post-Tax Rate** | **22.15% p.a.** | **7.67% p.a.** |

## 9.5 Key Financial Findings and "So What" Analysis

The mathematical model reveals a staggering divergence in credit efficiency. By choosing the **Structured Collateral Funding Pathway (Pathway B)**, MICPL achieves an effective post-tax annualized borrowing rate of **only 7.67% p.a.**, compared to **22.15% p.a.** under the standalone route.

**The "So What" Summary:** This structured trade program delivers **₹47,60,136.25 (₹47.6 Lakhs) in direct, post-tax cash savings** to MICPL on a single 120-day contract cycle. More importantly, because the ₹10 Crore capital was deployed securely through a tripartite escrow TRA, the manufacturing line remained fully active, the auto component shipment was delivered on schedule, MICPL successfully bypassed any potential technical default warning pools, and the promoters completely avoided any equity dilution or property distress sales, maintaining absolute operational control and corporate wealth!

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# Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Structured Collateral Funding in India.

### Question 1

A corporate borrower seeks ₹100 Crores of Structured Collateral Funding from a commercial bank. The collateral pool consists of commercial real estate valued at ₹100 Crores (60% LTV) and promoters' listed shares valued at ₹80 Crores (50% LTV). Under the RBI commercial credit guidelines, what is the maximum credit limit the bank can legally sanction under this multi-asset structure? * A) ₹100 Crores * B) ₹80 Crores * C) ₹102 Crores * D) ₹140 Crores * **Answer:** A * **Rationale:** The bank can sanction up to the lower of the requested amount (₹100 Crores) or the total credit capacity of the collateral pool. The collateral capacity is calculated as: Commercial Real Estate (₹100 Crores × 60% LTV = ₹60 Crores) + Listed Shares (₹80 Crores × 50% statutory LTV = ₹40 Crores) = **₹100 Crores**. Therefore, the bank can legally sanction the entire requested ₹100 Crores limit.

### Question 2

Under Section 13(2) of the SARFAESI Act, 2002, how many days' notice must a secured lender serve to a defaulting corporate borrower before taking symbolic or physical possession of the mortgaged properties in the structured collateral pool? * A) 15 Days * B) 30 Days * C) 45 Days * D) 60 Days * **Answer:** D * **Rationale:** Under **Section 13(2) of the SARFAESI Act, 2002**, once an account is classified as a Non-Performing Asset (NPA), the secured creditor must issue a formal demand notice in writing, giving the borrower and guarantors **60 days** to discharge their full liabilities before initiating any enforcement actions like taking possession of or auctioning the secured assets.

### Question 3

An underwriter is assessing an automotive components manufacturer with a Current Ratio of 1.15:1. To comply with the Tandon Committee's Second Method of Lending, what is the target Current Ratio required, and how does the underwriter structure the transaction to mitigate risk? * A) Target is 1.00:1; no structural change is needed. * B) Target is 1.25:1; the lender must demand personal gold jewelry as collateral. * C) Target is 1.33:1; the underwriter enforces a synthetic carve-out of a specific, high-quality current asset pool routed through an exclusive escrow TRA. * D) Target is 1.50:1; the borrower must sell its manufacturing plant. * **Answer:** C * **Rationale:** The **Tandon**

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**Committee's Second Method of Lending** mandates a minimum target Current Ratio of **1.33:1** (meaning the borrower must fund 25% of current assets from long-term equity/working capital surpluses). If the borrower's standalone current ratio is compressed, the underwriter satisfies compliance by carving out a specific pool of current assets (such as transaction-specific inventory and AAA receivables) and routing them through an exclusive escrow TRA, creating a synthetic sub-structure that isolates and meets the 1.33:1 ratio.

### Question 4

Under the RBI's **IRACP Guidelines, 2025**, a revolving structured overdraft limit in the collateral pool is classified as a Non-Performing Asset (NPA) under "Out of Order" status if which of the following conditions is fulfilled? * A) The outstanding balance exceeds the sanctioned limit or Drawing Power for 30 consecutive days. * B) The interest debited during a quarterly cycle is not fully covered by credit inflows within 60 days. * C) The outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**, or if there are no credit inflows for **90 days**. * D) The promoter's CIBIL score drops below 650. * **Answer:** C * **Rationale:** Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines**, a revolving credit facility (like an overdraft or cash credit) is classified as an NPA under **"Out of Order"** status if the outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**, or if there are no credit inflows into the account for **90 days**, or the inflows are insufficient to cover the interest debited during the same 90-day window.

### Question 5

A promoter pledges their listed shares with CDSL to secure an outbound corporate top-up facility. Under which Indian statute is this security pledge legally governed? * A) Section 130 of the Transfer of Property Act, 1882 * B) Section 172 of the Indian Contract Act, 1872 * C) Section 13(2) of the SARFAESI Act, 2002 * D) Section 185 of the Companies Act, 2013 * **Answer:** B * **Rationale:** A pledge of goods, shares, or electronic securities as collateral to secure a debt is governed strictly under **Section 172 of the Indian Contract Act, 1872**, defining the bailment of goods as security. Actionable claim assignments are governed by Section 130 of the Transfer of Property Act, 1882.

### Question 6

A corporate borrower incurs a ₹10,00,000 upfront processing fee and ₹50,00,000 in daily reducing balance interest on a structured overdraft over a 120-day cycle. Applying Indian tax and GST rules, what is the correct tax treatment of these components? * A) Both the fee and interest attract 18% GST and are non-deductible under corporate tax. * B) The processing fee attracts 18% GST; the interest is completely GST-exempt. Both

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are deductible under Section 36(1)(iii) of the Income Tax Act, 1961. * C) The processing fee is GST-exempt; the interest attracts 18% GST. Only the fee is tax-deductible. * D) Both the fee and interest are completely GST-exempt and non-deductible. * **Answer:** B * **Rationale:** Under Indian tax guidelines, **upfront loan processing fees attract 18% GST** (which is fully recoverable by the borrower via Input Tax Credit if they have active GST registration). In contrast, **borrowing interest is completely exempt from GST**. Under **Section 36(1)(iii) of the Income Tax Act, 1961**, both the fee and interest represent business borrowing costs and are fully deductible from taxable corporate income.

### Question 7

A bank fails to execute a formal credit review and renewal of an active revolving structured working capital limit. How many days from the scheduled renewal due date can pass before the account is classified as a technical default NPA under RBI IRACP guidelines? * A) 90 Days * B) 120 Days * C) 180 Days * D) 270 Days * **Answer:** C * **Rationale:** Under the RBI's **IRACP Guidelines**, banks are required to review and renew working capital limits annually. If a bank fails to review or renew an active limit within **180 days** from its scheduled renewal due date, the facility is automatically classified as a technical default and downgraded to an NPA.

### Question 8

During a structured collateral restructuring program, the lender, borrower, and a AAA buyer execute a Tripartite Escrow Agreement. What is the legal purpose of inserting a "Non-Dispute Covenant" in this agreement? * A) It prevents the buyer from returning defective goods. * B) It waives the buyer's rights of set-off or counter-claims arising from historical trade disputes, securing direct payments to the escrow TRA. * C) It makes the buyer a primary co-borrower on the structured loan. * D) It prevents the promoter from selling their equity shares. * **Answer:** B * **Rationale:** A **"Non-Dispute Covenant"** is a critical credit enhancement tool. By signing this covenant, the buyer contractually agrees that once they receive and inspect a specific consignment, they waive all rights to adjust, deduct, or set-off the invoice payments against any historical trade disputes or outstanding claims they might have against the distressed seller, ensuring 100% of the cash flow is deposited securely into the lender's escrow TRA.

### Question 9

To secure a high-value Structured Collateral Overdraft on a digital platform, the underwriter validates the transaction using GSTR portal integrations. How is GSTR validation utilized to mitigate invoice fraud or duplicate financing? * A) By verifying the promoter's personal income tax returns. * B) By matching the discounted invoice against the seller's GSTR-1 liability filing and the buyer's GSTR-2B input tax credit auto-population in real-time. * C) By

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calculating the company's annual corporate income tax liability. * D) By registering a physical hypothecation charge with the Ministry of Corporate Affairs (MCA). * **Answer:** B * **Rationale:** Digital underwriting platforms execute real-time APIs to match discounted invoices against the seller's **GSTR-1** (declaring the tax liability on the sale) & the buyer's **GSTR-2B** (confirming the transaction and auto-populating input tax credit). This digital validation ensures the transaction is genuine, active, and has not been discounted on another banking platform (preventing duplicate financing).

### Question 10

Under RBI guidelines, direct commercial bank loans to individual retail borrowers against listed dematerialized shares are capped at ₹20 Lakhs. Which of the following corporate borrowing structures is completely exempt from this statutory cap? * A) Direct loans to unlisted private companies. * B) Loans granted to SEBI-registered NBFCs, corporate entities, or holding companies for promoter-contribution or business-acquisition purposes. * C) Loans to retail partnerships. * D) Direct loans to sole proprietorships. * **Answer:** B * **Rationale:** Under RBI's **commercial lending guidelines**, the direct bank lending limit of **₹20 Lakhs** against listed shares applies strictly to individual retail borrowers. Pledges made by corporate borrowers, holding companies, or facilities structured through SEBI-registered NBFCs and Category II AIFs (Venture Debt) for corporate purposes (e.g., promoter-contributions, mergers, or acquisitions) are **completely exempt** from this cap, enabling high-value corporate structured financing.

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